



# MARKET MONITOR

No.40 – July 2016

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## Roundup

*Unsettled weather made markets for AMIS crops volatile even before the start of the turmoil associated with the UK referendum on 23 June. In the meantime, the overall supply and demand outlook for 2016/17 season has changed little since last month with fundamentals still pointing to tightening prospects for soybeans but rising wheat surpluses and generally balanced maize and rice markets. In the coming months, weather is likely to play a critical role for northern hemisphere maize, soybeans and rice crops, which are several months away from harvesting. The UK's vote to leave the EU adds further uncertainty, with first shock waves already observed in financial markets and a surge in the US dollar translating into elevated risks to global commodity prospects.*

## Markets at a glance

|                 | From previous forecast | From previous season |
|-----------------|------------------------|----------------------|
| <b>Wheat</b>    | ▲                      | ▲                    |
| <b>Maize</b>    | ▼                      | ▼                    |
| <b>Rice</b>     | ▲                      | ▼                    |
| <b>Soybeans</b> | ▼                      | ▼                    |

▲ Easing      ■ Neutral      ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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## World supply-demand outlook

- **Wheat** production forecast for 2016 lifted sharply; now only 2 million tonnes below last year's record.
- Utilization forecast for 2016/17 increased, reflecting the likelihood of much higher-than-earlier projected feed use of wheat in the EU and several countries in Asia.
- Trade volume in 2016/17 (July/June) is seen bigger than earlier forecast and now 1 percent above 2015/16.
- Stocks (ending in 2017) to increase to a 15-year high but China alone would account for the bulk of the projected y/y increase in world inventories.

### WHEAT

**Production**  
**Supply**  
**Utilization**  
**Trade**  
**Stocks**

| FAO-AMIS |         |       |
|----------|---------|-------|
| 2015/16  | 2016/17 |       |
| est.     | f'cast  |       |
|          | 2-Jun   | 7-Jul |
| 734      | 724     | 732   |
| 937      | 935     | 944   |
| 720      | 718     | 726   |
| 157      | 155     | 159   |
| 212      | 216     | 217   |

in million tonnes

| USDA    |         | IGC     |         |
|---------|---------|---------|---------|
| 2015/16 | 2016/17 | 2015/16 | 2016/17 |
| est.    | f'cast  | est.    | f'cast  |
|         | 10-Jun  |         | 1-Jul   |
| 734     | 731     | 736     | 729     |
| 951     | 974     | 936     | 946     |
| 708     | 716     | 719     | 720     |
| 168     | 166     | 158     | 156     |
| 243     | 258     | 217     | 226     |

- **Maize** production forecast for 2016 lowered significantly, mainly because of a much smaller harvest in Brazil due to unfavourable weather.
- Utilization in 2016/17 to expand by 2.3 percent y/y, driven by a strong anticipated growth in feed use, led by China and the US.
- Trade forecast for 2016/17 (July/June) increased slightly m/m with higher imports by Bangladesh and Brazil offsetting lower forecasts for China and Japan.
- Stocks (ending in 2017) to decline for the second consecutive season, following this month's cuts in forecast ending inventories especially in China and the US.

### MAIZE

**Production**  
**Supply**  
**Utilization**  
**Trade**  
**Stocks**

| FAO-AMIS |         |       |
|----------|---------|-------|
| 2015/16  | 2016/17 |       |
| est.     | f'cast  |       |
|          | 2-Jun   | 7-Jul |
| 1004     | 1027    | 1018  |
| 1228     | 1246    | 1237  |
| 1007     | 1029    | 1030  |
| 134      | 131     | 132   |
| 219      | 214     | 207   |

in million tonnes

| USDA    |         | IGC     |         |
|---------|---------|---------|---------|
| 2015/16 | 2016/17 | 2015/16 | 2016/17 |
| est.    | f'cast  | est.    | f'cast  |
|         | 10-Jun  |         | 1-Jul   |
| 966     | 1012    | 969     | 1003    |
| 1175    | 1218    | 1176    | 1207    |
| 968     | 1013    | 972     | 1002    |
| 121     | 133     | 130     | 128     |
| 206     | 205     | 204     | 205     |

- **Rice** production in 2016 raised slightly on improved prospects for Egypt, the Lao PDR, Pakistan and Tanzania.
- Utilization in 2016/17 forecast to grow by 1.4 percent y/y, sustained primarily by growing food use in Asia and Africa.
- Trade in calendar 2017 to fall slightly below the 2016 subdued level, amid expectations of diminished demand from the Far East and South America.
- Stocks (ending in 2017) upgraded on account of Cambodia, Pakistan and Viet Nam, but still forecast to fall 3 percent short of their opening levels.

### RICE

(milled)

**Production**  
**Supply**  
**Utilization**  
**Trade**  
**Stocks**

| FAO-AMIS |         |       |
|----------|---------|-------|
| 2015/16  | 2016/17 |       |
| est.     | f'cast  |       |
|          | 2-Jun   | 7-Jul |
| 491      | 494     | 495   |
| 664      | 663     | 665   |
| 496      | 503     | 503   |
| 44.1     | 44.1    | 43.8  |
| 169      | 164     | 165   |

in million tonnes

| USDA    |         | IGC     |         |
|---------|---------|---------|---------|
| 2015/16 | 2016/17 | 2015/16 | 2016/17 |
| est.    | f'cast  | est.    | f'cast  |
|         | 10-Jun  |         | 1-Jul   |
| 471     | 481     | 473     | 486     |
| 585     | 587     | 584     | 587     |
| 479     | 480     | 483     | 488     |
| 41.3    | 40.5    | 42.2    | 41.8    |
| 107     | 107     | 101     | 99      |

- **Soybeans** 2016/17 global production forecast lowered slightly; although still implying a 2 percent increase over 2015/16, the new forecast falls short of the 2014/15 record.
- Global utilization forecast for 2016/17 virtually unchanged, with China, other countries in Asia and Brazil driving a y/y increase of 4–5 percent.
- Trade forecast for 2016/17 revised downwards, mainly reflecting lower than earlier anticipated y/y expansion in China's imports.
- Stocks (2016/17 carry-out) lowered m/m, now down 11 million tonnes from the 2015/16 level and a 4-year low.

### SOYBEANS

**Production**  
**Supply**  
**Utilization**  
**Trade**  
**Stocks**

| FAO-AMIS |         |       |
|----------|---------|-------|
| 2015/16  | 2016/17 |       |
| est.     | f'cast  |       |
|          | 2-Jun   | 7-Jul |
| 313      | 321     | 319   |
| 358      | 364     | 361   |
| 316      | 330     | 330   |
| 131      | 138     | 136   |
| 43       | 35      | 32    |

in million tonnes

| USDA    |         | IGC     |         |
|---------|---------|---------|---------|
| 2015/16 | 2016/17 | 2015/16 | 2016/17 |
| est.    | f'cast  | est.    | f'cast  |
|         | 10-Jun  |         | 1-Jul   |
| 313     | 323     | 312     | 320     |
| 392     | 395     | 350     | 352     |
| 318     | 328     | 317     | 324     |
| 132     | 138     | 130     | 133     |
| 72      | 66      | 33      | 28      |



#### FAO-AMIS monthly forecast

For latest revisions to FAO-AMIS monthly forecasts for 2016/17 see next page.

To review and compare data, by country and commodity, across the three main sources, go to <http://statistics.amis-outlook.org/data/index.html#COMPARE>

## Summary of revisions to FAO-AMIS monthly forecasts for 2016/17\*

in thousand tonnes

|                   | WHEAT       |             |             |             |             | MAIZE        |             |             |            |              |
|-------------------|-------------|-------------|-------------|-------------|-------------|--------------|-------------|-------------|------------|--------------|
|                   | Production  | Imports     | Utilization | Exports     | Stocks      | Production   | Imports     | Utilization | Exports    | Stocks       |
| <b>WORLD</b>      | <b>8090</b> | <b>3526</b> | <b>8049</b> | <b>3550</b> | <b>1402</b> | <b>-8180</b> | <b>1007</b> | <b>974</b>  | <b>958</b> | <b>-7572</b> |
| <b>Total AMIS</b> | <b>8086</b> | <b>3000</b> | <b>6838</b> | <b>3700</b> | <b>703</b>  | <b>-8519</b> | <b>-200</b> | <b>-69</b>  | <b>770</b> | <b>-7663</b> |
| Argentina         | -           | -           | -           | 500         | -500        | -            | -           | -500        | 500        | -            |
| Australia         | 880         | -           | 180         | -           | 1200        | 25           | -           | 25          | -          | -            |
| Brazil            | 744         | -500        | -6          | -           | 150         | -7770        | 500         | -1270       | -4000      | -1000        |
| Canada            | -           | -           | -           | -           | -           | -            | -           | -50         | -          | -100         |
| China Mainland    | 1250        | -           | 1000        | -           | 250         | -2000        | -500        | 2000        | -          | -2573        |
| Egypt             | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| EU                | 2000        | -           | 1500        | 500         | -           | -            | -           | -500        | 500        | -            |
| India             | 1000        | 500         | 1000        | -300        | 1000        | -            | -           | 200         | -200       | 300          |
| Indonesia         | -           | 1800        | 2050        | -           | -600        | 400          | 200         | 600         | -          | -            |
| Japan             | 147         | -           | 47          | -           | 100         | -            | -300        | -300        | -          | -            |
| Kazakhstan        | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| Mexico            | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| Nigeria           | -           | -200        | -           | -           | -           | -            | -           | -           | -          | -            |
| Philippines       | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| Rep. of Korea     | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| Russian Fed.      | 2000        | 400         | -           | 2500        | 217         | 103          | -           | -347        | 500        | -50          |
| Saudi Arabia      | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| South Africa      | -           | -           | -           | -           | -           | 243          | -100        | 143         | -          | -            |
| Thailand          | -           | -           | -           | -           | -           | -            | -           | -           | -          | -            |
| Turkey            | -1500       | 1000        | -           | 500         | -200        | -            | -           | 30          | -30        | -            |
| Ukraine           | -600        | -           | -           | -           | -1400       | 580          | -           | -           | 500        | -557         |
| US                | 2165        | -100        | 817         | -           | 586         | -            | -           | -           | 3000       | -3683        |
| Viet Nam          | -           | 100         | 250         | -           | -100        | -100         | -           | -100        | -          | -            |

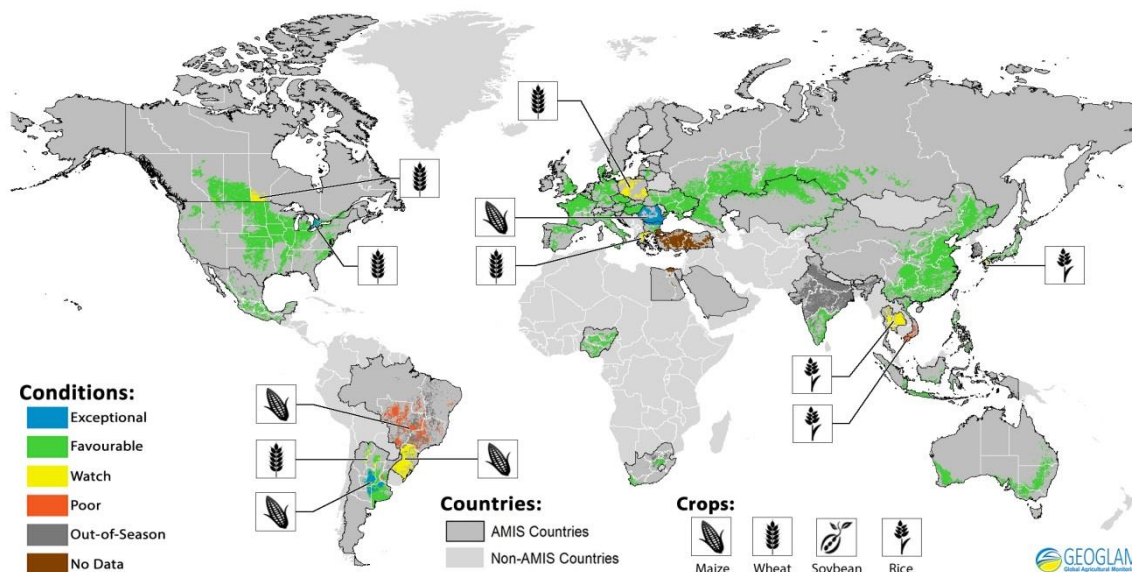
|                   | RICE       |             |             |             |            | SOYBEANS     |              |             |              |              |
|-------------------|------------|-------------|-------------|-------------|------------|--------------|--------------|-------------|--------------|--------------|
|                   | Production | Imports     | Utilization | Exports     | Stocks     | Production   | Imports      | Utilization | Exports      | Stocks       |
| <b>WORLD</b>      | <b>847</b> | <b>-265</b> | <b>585</b>  | <b>-255</b> | <b>940</b> | <b>-2337</b> | <b>-2436</b> | <b>-32</b>  | <b>-2291</b> | <b>-3065</b> |
| <b>Total AMIS</b> | <b>-88</b> | <b>-20</b>  | <b>94</b>   | <b>-430</b> | <b>498</b> | <b>-1797</b> | <b>-2286</b> | <b>101</b>  | <b>-1891</b> | <b>-2940</b> |
| Argentina         | -20        | -           | -           | -           | -20        | -750         | -            | 1150        | -800         | -            |
| Australia         | -37        | -20         | -           | 20          | -          | -28          | -            | -28         | -            | -            |
| Brazil            | -232       | -           | -68         | -           | -28        | -            | -            | -41         | -1500        | -            |
| Canada            | -          | -           | -           | -           | -          | 194          | -            | 194         | -            | -            |
| China Mainland    | -          | -           | -42         | -           | 150        | 400          | -1500        | 400         | -            | -1500        |
| Egypt             | 138        | -           | 14          | 50          | 80         | -            | -120         | -130        | -            | 30           |
| EU                | 13         | -           | -15         | -           | -          | 161          | -            | 172         | -11          | -            |
| India             | -          | -           | -           | -           | -          | -1500        | -            | -1210       | 20           | -300         |
| Indonesia         | -          | -           | -           | -           | -          | -17          | -167         | -234        | -            | 50           |
| Japan             | -          | -           | -           | -           | -          | -            | -            | -           | -            | -            |
| Kazakhstan        | -          | -           | -           | -           | -          | -            | -            | -           | -            | -            |
| Mexico            | -          | -           | -           | -           | -          | -            | -            | -           | -            | -            |
| Nigeria           | 30         | -           | -140        | -           | 100        | -            | -            | -           | -            | -            |
| Philippines       | 20         | -           | -30         | -           | -150       | -            | -110         | -103        | -            | -8           |
| Rep. of Korea     | -          | -           | -           | -           | -          | -            | -            | -           | -            | -            |
| Russian Fed.      | -          | -           | -           | -           | -          | 305          | -400         | -250        | -            | -50          |
| Saudi Arabia      | -          | -           | 25          | -           | -          | -            | -            | -           | -            | -            |
| South Africa      | -          | -           | -           | -           | -          | 37           | 15           | 30          | -            | 22           |
| Thailand          | -          | -           | 250         | -100        | -          | -            | -            | -           | -            | -            |
| Turkey            | -          | -           | -           | -           | -          | -            | -            | -           | -            | -            |
| Ukraine           | -          | -           | -           | -           | -          | 200          | -            | 170         | -            | 30           |
| US                | -          | -           | -           | -           | 16         | 1            | -4           | -19         | 400          | -1214        |
| Viet Nam          | -          | -           | 100         | -400        | 350        | -            | -            | -           | -            | -            |



Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

## Crop monitor

### Crop conditions in AMIS countries (as of Jun 28th)



Crop condition map synthesizing information for all four AMIS crops as of Jun 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

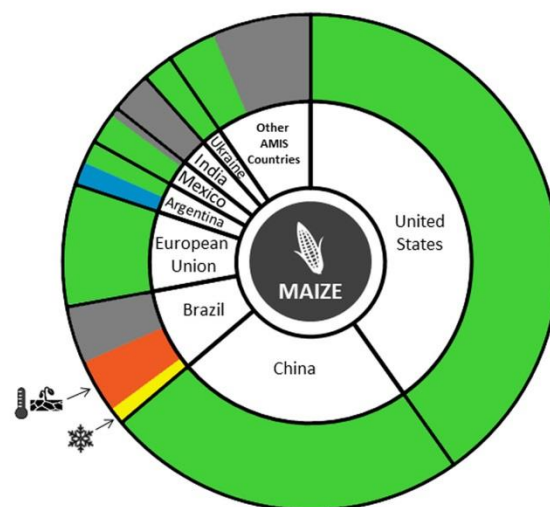
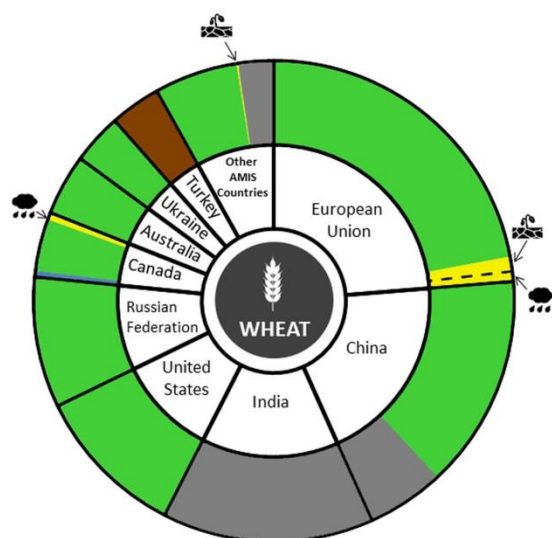
### Conditions at a glance

**Wheat** - In the northern hemisphere, winter wheat harvest has begun and conditions continue to be largely favourable. Spring wheat planting is complete and conditions remain favourable at this early stage of the season. In the southern hemisphere, the winter wheat season began under favourable conditions.

**Maize** - In the northern hemisphere, planting is complete and conditions remain favourable. In the southern hemisphere conditions are mixed as the season draws to a close. Conditions continue to be favourable in Argentina, though significant concerns remain in Brazil due to dry and hot weather during the critical stages of the season, and production is expected to be down from the previous year.

**Rice** - Conditions for the new season are generally favourable in Southeast Asia with the exception of Thailand, where conditions are mixed due to limited rainfall. End of season conditions for Thailand's and Viet Nam's dry season crops were poor due to the impacts of El Niño experienced throughout the season.

**Soybeans** - In the northern hemisphere, conditions are favourable at this early stage of the season. In the southern hemisphere, harvest is complete in Brazil and almost complete in Argentina, except in the southern regions where conditions remain favourable.



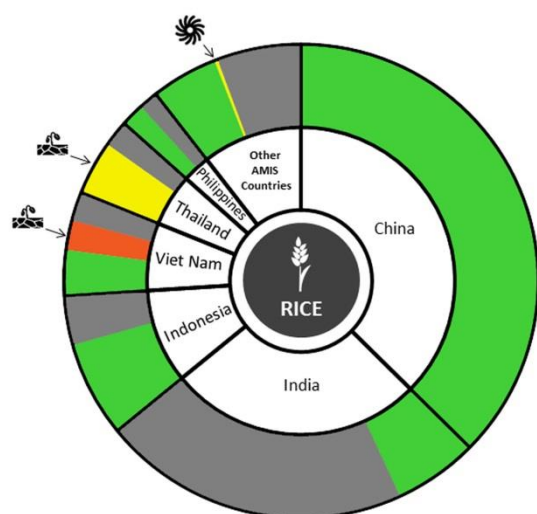
## Wheat

In the **EU**, yields remain above the five-year average despite the downward revision for Germany and France, which is not completely compensated by the upward revision for Spain, Italy and Portugal. In the **US**, harvest is well underway and winter wheat conditions are very good throughout. Record yields are expected, except in Kansas, where the bulk of winter wheat is grown and is expected to be just under a record. Total production of winter wheat will not be at record due to reduced planted area. Spring wheat is in favourable conditions. In **China**, winter wheat and spring wheat conditions are favourable. Spring wheat is at heading to flowering stages in northern China. In the **Russian Federation**, winter and spring wheat conditions are favourable owing to good moisture conditions though there are some limited concerns over warmer than average temperatures. In **Canada**, winter and spring wheat conditions improved from last month though there is still concern in Alberta over winter wheat due to dry conditions and in Manitoba over spring wheat due to wet conditions. However, overall crop growth is ahead of normal and most areas are experiencing good growing conditions. In **Ukraine**, conditions remain favourable and harvest has begun in the southern regions. In **Kazakhstan**, planting is complete and conditions are favourable. In **Australia**, planting is progressing well and conditions are mostly favourable at this early stage of the season. Timely rainfall during June improved opportunities for crop germination and growth in most wheat growing regions. In Western Australia, dry conditions during June have resulted in a decline in soil moisture levels.

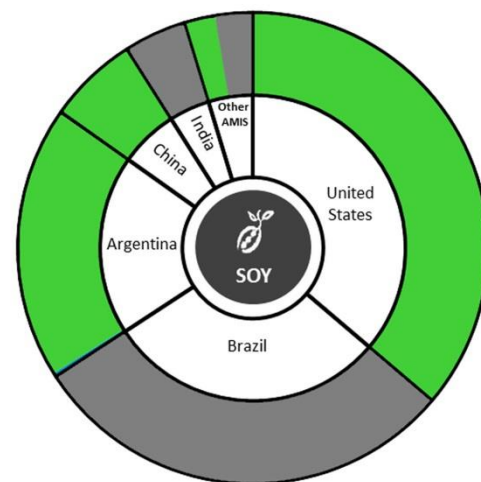
## Maize

In the **US**, conditions are good throughout the country. In **China**, conditions are favourable for the spring-planted crop. The summer-planted crop is in sowing to seedling stage and conditions are favourable, though heavy rainfall in the north parts of Lower Yangtze and Huanghuaihai may negatively impact the seedling of summer maize in these areas. In **Ukraine**, conditions are good owing to an abundance of rainfall. In the **EU**, conditions remain favourable. In **India**, land preparation began under favourable conditions. In **Mexico**, harvest is ongoing for the autumn-winter cycle and could be better than last year, if favourable weather conditions are maintained. Planting for the spring-summer cycle is ongoing and adequate rainfall has allowed the normal development of crops in most parts of the country. In **Canada**, conditions remain favourable. In the **Russian Federation**, planting is complete and conditions are favourable owing to beneficial soil moisture. In **Nigeria**, conditions continue to be favourable throughout the country. In **Brazil**, conditions for the summer-planted (the larger producing season) crop continue to be mixed due to insufficient rainfall and high temperatures in April and May, which affected major producing regions during the critical stage and overall production is expected to be down. In **Argentina**, harvest continues to progress slowly due to the delayed planting and excess rainfall. Most of the crops that remain in the field are in very good to excellent condition.



**Conditions:****Drivers:****Rice**

In **India**, planting has just begun for the kharif crop. In **China**, conditions for early, intermediate and late rice are favourable due to beneficial temperatures and sufficient rainfall. However, continuously heavy rain might adversely impact the flowering of early rice and the growth of semi-late rice but there are no negative impacts yet. Early rice is at booting to heading stage while semi-late rice is at tillering stage. In **Thailand**, harvest is complete and yields are poor for the dry season crop due to insufficient water, pest outbreaks and unfavourable weather throughout the season attributed to El Niño. Planting has begun for the wet season crop and conditions are mixed in this early stage due to minimal rainfall. In **Viet Nam**, planting of the dry season crop is complete in the northern regions and conditions are good. Harvest is almost complete for the winter-spring dry season crop in the southern areas and conditions are poor due to drought conditions. In the **US**, conditions remain favourable. In **Indonesia**, conditions continue to be favourable for the wet season crop owing to favourable rainfall. In the **Philippines**, planting continues and conditions are favourable for the wet season crop.

**Soybeans**

In the **US**, planting is complete and conditions are favourable at this early stage of the season. In **Canada**, conditions remain favourable. In **China**, conditions are generally favourable and the crop is in seedling to leafing stage. In **India**, land preparation has begun. In **Argentina** harvest is almost complete and conditions remain favourable, despite significant harvest delays due to heavy rainfall in the southern regions.

**Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published July 7th 2016**

**i Pie chart description:** Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts.

More detailed information on the GEOGLAM crop assessments is available at [www.geoglam-crop-monitor.org](http://www.geoglam-crop-monitor.org)

## Policy developments

### Wheat

- **India** extended the current 25 percent import duty on wheat. The tax was increased from 10 percent to 25 percent on 19 October 2015 and was initially due to apply until 31 March 2016. It had since been extended until 30 June 2016.
- On 1 June, **South Africa** raised the import duties on wheat by 30 percent to ZAR 1591.1 (USD 104.18) per tonne, in terms of the existing variable tariff formula. It is the seventh revision since October 2014 and follows consecutive increases by 34 percent and 78 percent that had occurred on 8 April and 25 September 2015 respectively.

### Rice

- **Mexico** established duty free Tariff Rate Quotas (TRQs) on five types of rice for imports from countries that are not under a Free Trade Agreement. A 9 percent tariff on imported paddy rice and a 20 percent tariff on husked, long grain and other rice, had been imposed starting 9 January 2015. Tariffs on rice had been eliminated in 2008. The TRQ's are contingent on supply/access disruptions.
- **Nigeria** announced measures to support the rice sector, including equipment subsidies, direct support and improved access to credit.

### Biofuels

- In **Australia**, authorities in Queensland announced AUD 20 million (USD 15 million) to promote the production and use of biofuels. As of 1 January 2017, a

mandatory blend of 3 percent will apply to regular unleaded petrol. The mandate will increase to 4 percent after 18 months (from 1 July 2018). A separate mandate on biodiesel requires that 0.5 percent of all diesel fuel sold is bio-based.

- Both the EU and Argentina have filed appeals against the findings of a WTO dispute panel that examined the anti-dumping duties that the EU imposed on imported biodiesel from Argentina. The case will now be presented at WTO's highest court.

### Across the board

- On 16 June, **Australia's** Biosecurity Act 2015 repealed the Quarantine Act 1908 and relaxed the requirement for an import permit for a list of specific commodities, under specific conditions and from specific origins, including maize from New Zealand.
- In **India** the Minimum Support Prices (MSPs) were announced for the 2016/17 crop, effective from 1 Oct. Compared to 2015/16, MSPs are increased by 4.3 percent for common paddy rice to INR 14 700 (USD 219) per tonne, by 4.1 percent for grade A paddy to INR 15,100 (USD 225) per tonne, by 3 percent for maize to INR 13 650 (USD 203) per tonne and by 6.7 percent for soybeans to INR 27 750 (USD 413) per tonne.
- In **Argentina**, the Buenos Aires province authorized an increase of up to 23.25 percent of transport costs for cereals, oilseeds and respective sub products. This measure was made in response of increased operating costs, particularly for fuel.



#### AMIS Policy database

Visit the AMIS Policy database at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

## International prices

### International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

|                 | Jun 2016<br>Average* | % Change |         |
|-----------------|----------------------|----------|---------|
|                 |                      | M/M      | Y/Y     |
| <b>GOI</b>      | 213                  | + 7.0%   | + 7.9%  |
| <b>Wheat</b>    | 167                  | + 1.4%   | - 10.2% |
| <b>Maize</b>    | 205                  | + 7.8%   | + 13.7% |
| <b>Rice</b>     | 163                  | + 2.8%   | + 3.3%  |
| <b>Soybeans</b> | 229                  | + 11.5%  | + 20.4% |

\*Jan 2000=100, derived from daily export quotations

#### Wheat

World wheat export prices posted solid gains in the first part of June on concerns about untimely rains in major producing regions. However, values retreated later in the month, as the IGC GOI wheat sub-Index posted a net increase of just 1 percent m/m. Declines in the US were particularly marked as reports from the accelerating winter wheat harvest pointed to record high yields, but lower than normal protein levels. Price pressure also stemmed from mostly rising production expectations in the EU and the Black Sea region, although there was underpinning from persistent uncertainty about the impact on crops of recent poor weather in these areas. In late June, broad-based weakness in commodities and financial markets followed the UK referendum that resulted in a decision to leave the European Union.

#### Maize

Average global maize export prices strengthened in June, the IGC GOI sub-Index up by 8 percent m/m, on support from tight spot supplies in South America and the Black Sea region, as well as improved nearby demand for US exports. Talk about the possible transition from El Niño to La Niña was a market factor, with speculation about a potentially hot US Midwest summer providing some early support. However, with Corn Belt crop conditions broadly favourable, a series of benign weather forecasts later weighed on prices, causing some speculative funds to liquidate long positions. While quotations in Argentina

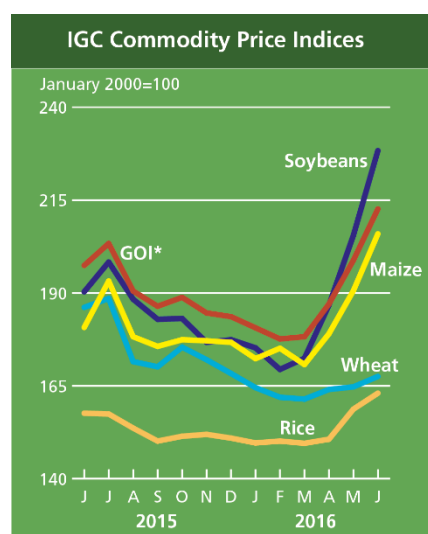
and Brazil were underpinned by earlier weather problems, prices there also began to ease more recently on advancing local harvests. Black Sea values were up quite sharply amid dwindling old crop availabilities.

#### Rice

Asian markets were mixed during the month of June, as the IGC GOI sub-Index climbed by about 3 percent m/m. The late arrival of monsoon rains helped to shape market sentiment, especially in South Asia, while Iraq's unexpected purchase of parboiled rice from India underpinned, with prospects for fresh demand providing support in Pakistan. In Thailand, the release of state reserves was bearish for prices, with much-needed precipitation ahead of planting capping upside potential. Elsewhere, markets in Viet Nam were slightly weaker on sluggish demand from traditional buyers, but cash prices in South America were markedly firmer on tight supplies.

#### Soybeans

Global export prices posted steep gains in the past month, the IGC GOI sub-Index advancing by around 11 percent. Sentiment was shaped by disappointing 2015/16 crops and tightening availabilities in South America, together with an associated uptick in demand for US old crop supplies. More recently, profit taking lightly weighed on US futures, as did favourable Midwest crop weather, but this was countered by support from a smaller than expected official 2016/17 US area figure. In South America, FOB values in Brazil were boosted by continued firm buying interest.



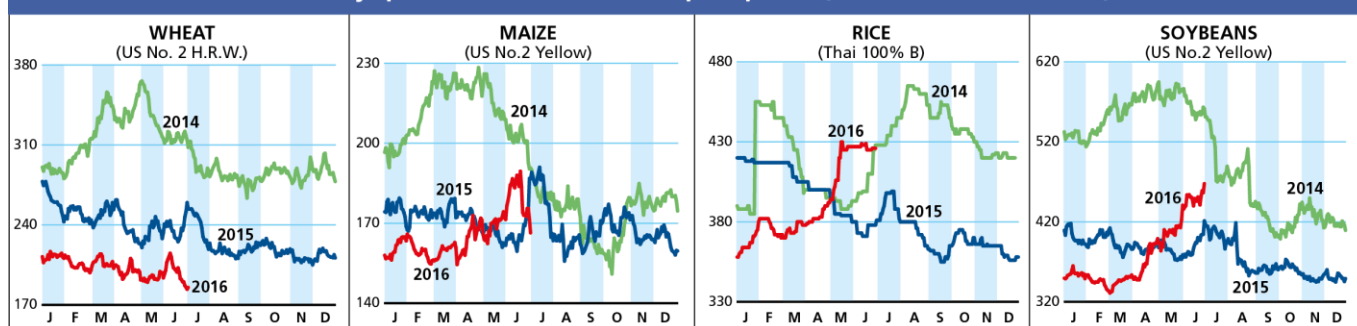
\*GOI: Grains and Oilseeds Index

|      |           | IGC commodity price indices                |       |       |       |          |
|------|-----------|--------------------------------------------|-------|-------|-------|----------|
|      |           | GOI*                                       | Wheat | Maize | Rice  | Soybeans |
|      |           | ( . . . . . January 2000 = 100 . . . . . ) |       |       |       |          |
| 2015 | June      | 197.4                                      | 186.1 | 180.7 | 157.6 | 190.3    |
|      | July      | 203.3                                      | 188.5 | 193.2 | 157.4 | 198.3    |
|      | August    | 190.5                                      | 171.5 | 178.2 | 153.6 | 188.3    |
|      | September | 186.4                                      | 170.1 | 175.6 | 150.1 | 182.9    |
|      | October   | 188.8                                      | 175.4 | 177.4 | 151.4 | 183.1    |
|      | November  | 184.6                                      | 172.0 | 177.1 | 151.9 | 176.7    |
| 2016 | December  | 183.6                                      | 168.3 | 176.7 | 150.9 | 177.4    |
|      | January   | 180.6                                      | 164.5 | 172.3 | 149.6 | 175.2    |
|      | February  | 177.6                                      | 161.9 | 175.1 | 150.1 | 169.4    |
|      | March     | 178.2                                      | 161.4 | 170.7 | 149.5 | 172.4    |
|      | April     | 187.0                                      | 164.0 | 179.0 | 150.6 | 186.7    |
|      | May       | 198.8                                      | 164.7 | 190.6 | 158.7 | 205.5    |
|      | June      | 212.6                                      | 167.5 | 205.9 | 163.0 | 228.3    |



## Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2014-2016)

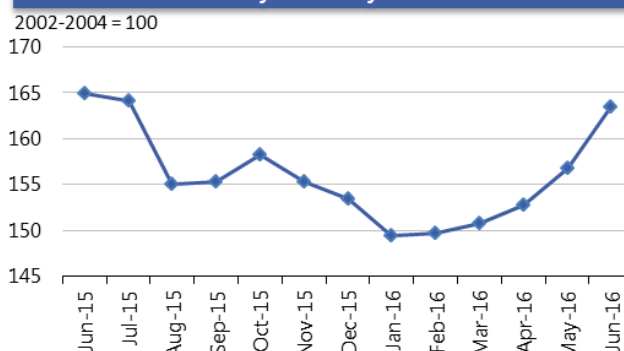
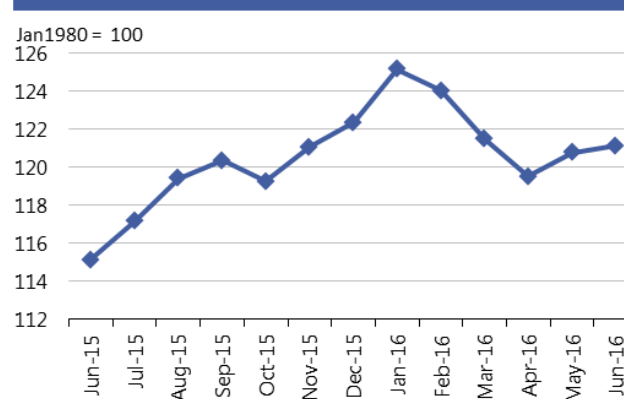


Daily quotations of selected export prices

|                                 | Effective Date | Quotation (1) | Week ago (2) | Month ago (3) | Year ago (4) | % change (1) over (2) | % change (1) over (4) |
|---------------------------------|----------------|---------------|--------------|---------------|--------------|-----------------------|-----------------------|
| (..... USD/tonne .....) (.....) |                |               |              |               |              |                       |                       |
| Wheat (US No. 2, HRW)           | 01-Jul         | 182           | 190          | 197           | 254          | -4.5%                 | -28.5%                |
| Maize (US No. 2, Yellow)        | 01-Jul         | 165           | 173          | 176           | 187          | -4.3%                 | -11.5%                |
| Rice (Thai 100% B)              | 02-Jul         | 427           | 426          | 427           | 381          | 0.2%                  | 12.1%                 |
| Soybeans (US No.2, Yellow)      | 01-Jul         | 465           | 441          | 422           | 417          | 5.5%                  | 11.7%                 |

AMIS Countries' Currencies Against US Dollar

| AMIS Countries | Currency | June 2016 Average | Monthly Change | Annual Change |
|----------------|----------|-------------------|----------------|---------------|
| Argentina      | ARS      | 14.10             | 0.04%          | -55.82%       |
| Australia      | AUD      | 1.35              | 1.34%          | -4.28%        |
| Brazil         | BRL      | 3.42              | 3.39%          | -9.92%        |
| Canada         | CAD      | 1.29              | 0.46%          | -4.31%        |
| China          | CNY      | 6.59              | -0.93%         | -6.19%        |
| Egypt          | EGP      | 8.88              | 0.04%          | -16.37%       |
| EU             | EUR      | 0.89              | -0.50%         | 0.07%         |
| India          | INR      | 67.25             | -0.48%         | -5.46%        |
| Indonesia      | IDR      | 13,332.36         | 0.60%          | -0.22%        |
| Japan          | JPY      | 105.41            | 3.27%          | 14.76%        |
| Kazakhstan     | KZT      | 336.60            | -1.14%         | -80.95%       |
| Rep. Korea     | KRW      | 1,164.32          | 0.90%          | -4.65%        |
| Mexico         | MXN      | 18.64             | -2.61%         | -20.45%       |
| Nigeria        | NGN      | 233.16            | -17.30%        | -17.26%       |
| Philippines    | PHP      | 46.43             | 0.75%          | -3.18%        |
| Russian Fed.   | RUB      | 64.92             | 1.45%          | -18.93%       |
| Saudi Arabia   | SAR      | 3.75              | 0.01%          | 0.01%         |
| South Africa   | ZAR      | 15.03             | 2.04%          | -22.41%       |
| Thailand       | THB      | 35.26             | 0.50%          | -4.61%        |
| Turkey         | TRY      | 2.91              | 1.17%          | -7.96%        |
| UK             | GBP      | 0.70              | -2.27%         | -9.74%        |
| Ukraine        | UAH      | 24.92             | 0.96%          | -17.72%       |
| Viet Nam       | VND      | 22,315.23         | -0.13%         | -2.44%        |

FAO Food Price Index  
May 2015 - May 2016Nominal Broad Dollar Index  
Jun 2015 - Jun 2016

Source: US Federal Reserve

## Futures markets

### Futures Prices – nearby

|                 | Jun-16 Average | % Change |       |
|-----------------|----------------|----------|-------|
|                 |                | M/M      | Y/Y   |
| <b>Wheat</b>    | 175            | 2.3%     | -8.4% |
| <b>Maize</b>    | 162            | 5.4%     | 12.6% |
| <b>Rice</b>     | 246            | -2.0%    | 13.2% |
| <b>Soybeans</b> | 421            | 8.4%     | 18.7% |

Source: CME

### Futures prices

Prices for wheat, maize and soybeans rose sharply during the first half of June and then subsequently reversed course, trimming gains by varying degrees at month-end. Adverse weather in South America, resulting in a pick-up in US demand for maize and soybeans and a “short covering” rally in wheat were cited as the factors in the early June price rally. Favorable US growing conditions and generally good to excellent crop ratings for maize and soybeans tipped the market sentiment from positive to slightly negative at mid-month. Following the USDA June 30 report which projected an unexpected rise in maize acres relative to soybean acres, maize dropped and soybeans rallied. For wheat, reports of larger than expected harvests in Black Sea region and a surge in US dollar at month-end pushed wheat prices to a multi-year low. The hard red winter wheat contract (Kansas City-based), which continued to lag the soft red winter wheat in Chicago, touched an eleven year low. Average prices for wheat, maize and soybeans were higher m/m by 2.3, 5.4 and 8.4 percent respectively. However, compared to a year ago, maize and soybean values averaged 12.6 and 18.7 percent higher while wheat averaged 8.4 percent lower. Rice prices, which surged in April, based on flooding in Argentina and drought in Southeast Asia, declined sharply with US ending stocks projected at the largest in 30 years and overall supplies ample, but still maintained a value of 13.2 percent higher than last year.

### Volumes and volatility

Volumes for wheat, maize and soybeans increased considerably m/m but did not surpass April's record levels. Volumes y/y were somewhat higher for maize and soybeans but were slightly lower for wheat. Implied volatility increased in all three commodities, exhibiting an above average level of about 27 for wheat and soybeans and 33 for maize. Historical volatility remained higher than normal -in the upper twenties for all 3 commodities.

### Basis levels and transport

Basis levels for maize and soybeans continued weak in the domestic market but saw a significant rise at the New Orleans gulf export hub. At month-end, maize and soybeans were quoted at about USD 24 per tonne premium to July futures compared to USD 14 and USD 11 at beginning of June. Barge freight along the Illinois River and the mid-Mississippi River soared to 400 per cent of tariff (approximately USD 18 per tonne) versus the multi-year low seen in mid-March at 220 per cent

### Historical Volatility – 30 Days, nearby

|                          | Monthly Averages |        |        |
|--------------------------|------------------|--------|--------|
|                          | Jun-16           | May-16 | Jun-15 |
| <b>Wheat (Nearby)</b>    | 29.5             | 33.3   | 35.7   |
| <b>Maize (May)</b>       | 28.2             | 28.8   | 19.9   |
| <b>Rice (Nearby)</b>     | 29.5             | 25.1   | 20.0   |
| <b>Soybeans (Nearby)</b> | 26.7             | 25.6   | 15.3   |

(USD 10 per tonne). The rise in barge freight can be largely attributed to the sudden demand for maize which showed a 150 percent increase in exports over the three year average. Similar to last month, cumulative US exports for wheat, maize and soybeans continued to lag last year but outstanding sales (over 27 million tonnes as of mid-June) for current marketing year surged 42 percent ahead levels reported a year ago. Truck and rail transportation rates rose in response to increased transport demands. The wheat basis remained lackluster.

### Forward curves

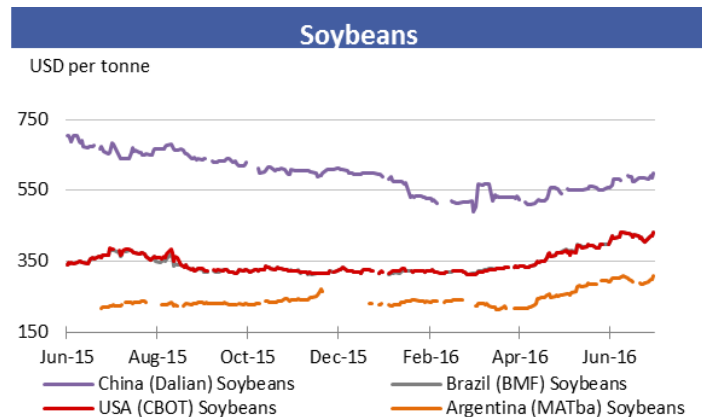
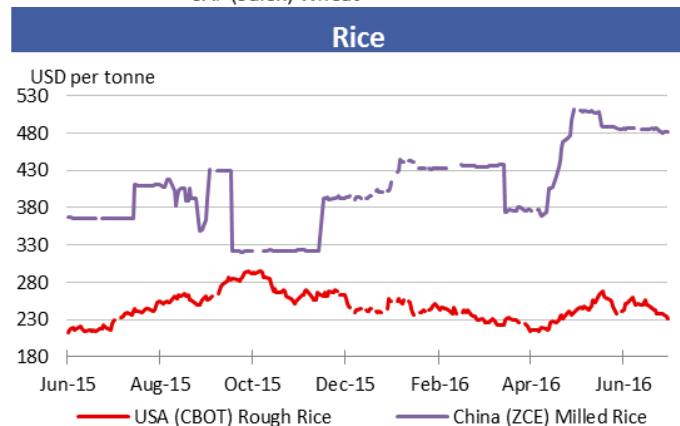
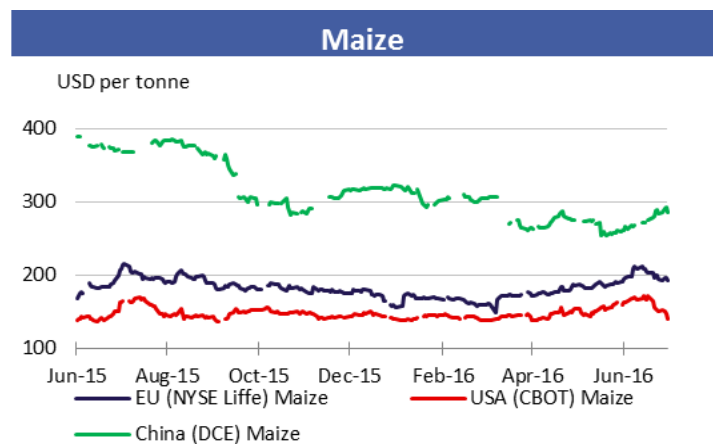
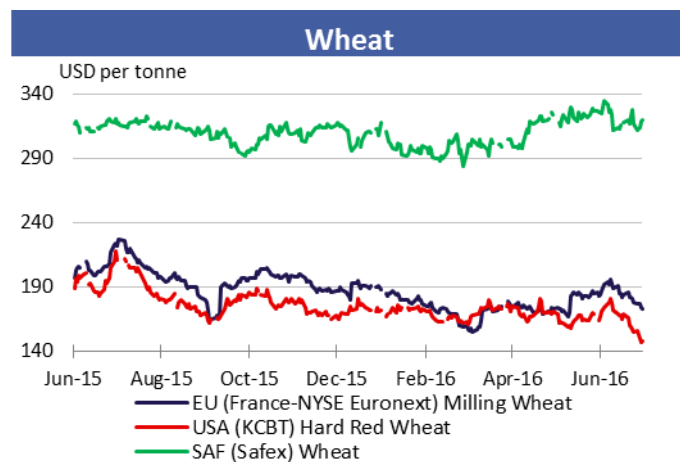
Forward curves for wheat, maize and soybeans displayed dynamic price movements during most of June as the market grappled with the level of exports switched from South America to US. Soybeans saw the greatest move between the old and new crop contracts (the July/Nov spread) as July spiked to a USD 24 per tonne premium to November in the first week of June and subsequently retraced to about a USD 10 premium. Maize, and to a lesser extent wheat, also saw a tightening of July/December spreads as buying sentiment was channeled into the front contract month. Narrow spreads, high futures prices and low domestic basis levels elicited deliveries for all three commodities on the July contracts.

### Investment flows

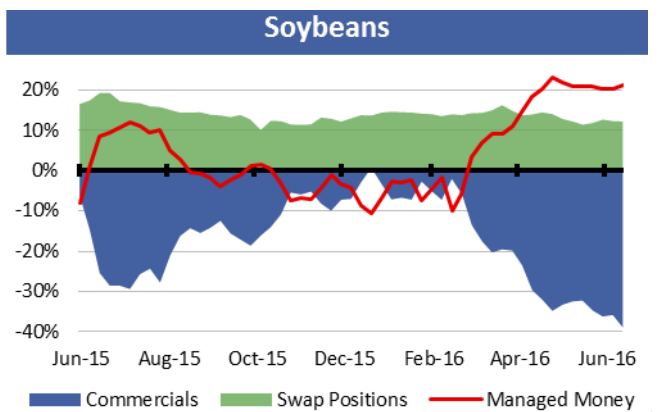
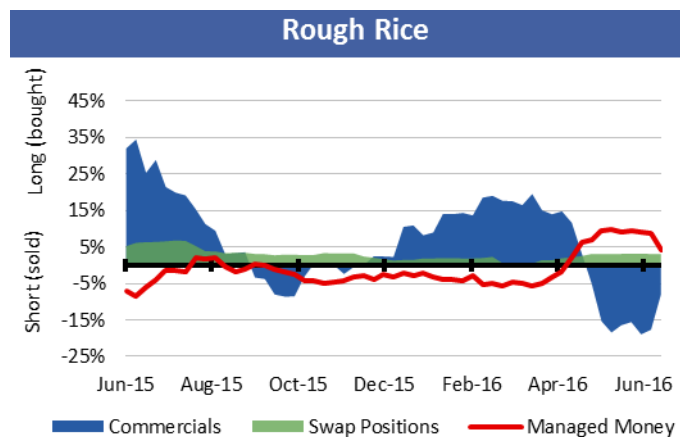
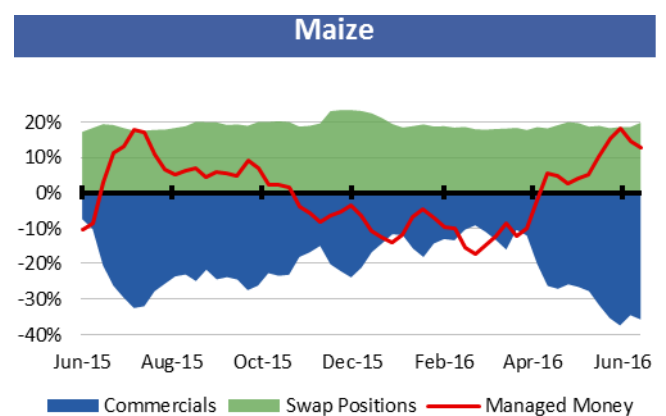
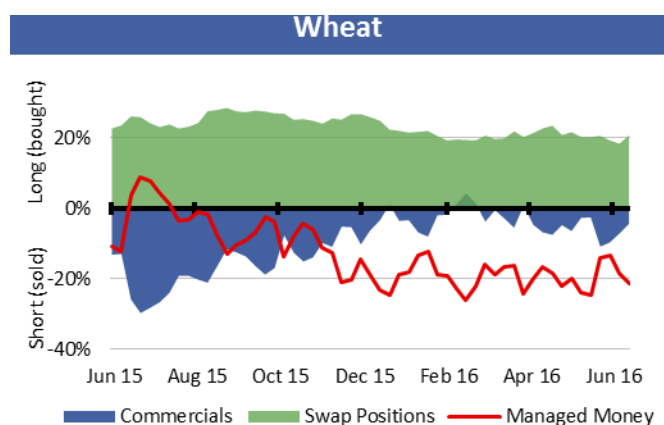
Managed money maintained its net short position in wheat for the tenth successive month, although it temporarily cut that position by half during the first week of June. Managed money added significantly to its net long position in maize (74 000 contracts – 9.4m tonnes) m/m while slightly trimming its net long position in soybeans, which had reached a two-year high in June. Commercials maintained net short positions in all 3 commodities. In maize, commercial net shorts relative to open interest approached levels of 40 per cent, which have not been recorded since December 2012, indicating the abundance of physical supplies moved from farm to commercial warehouse during the run-up of the market.

## Market indicators

Daily quotations from leading exchanges - nearby futures

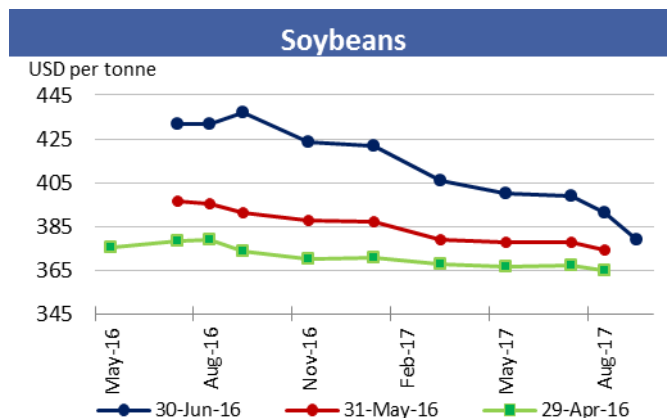
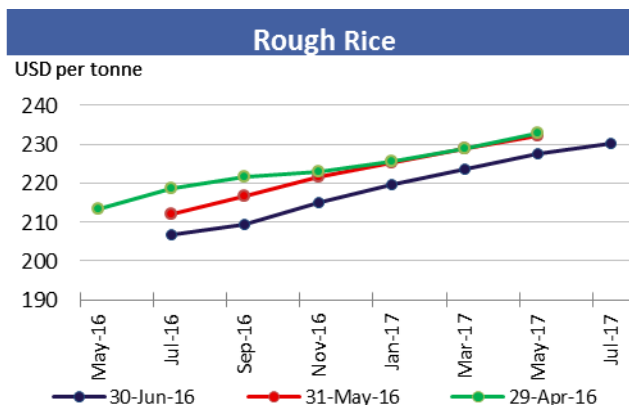
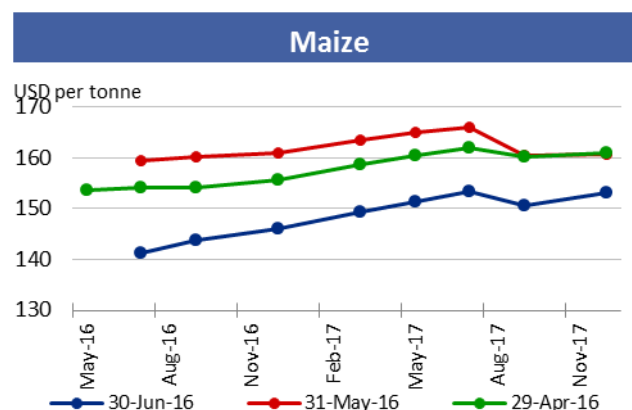
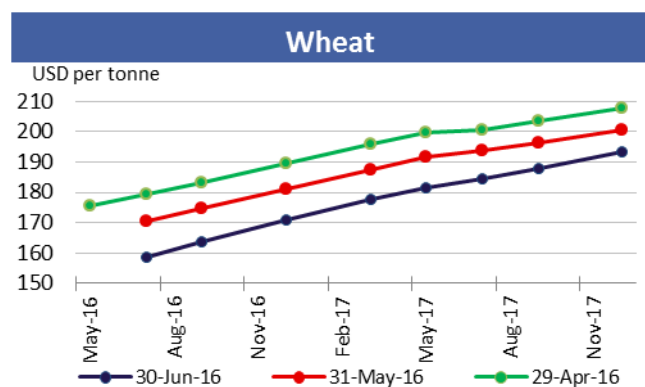


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest\*

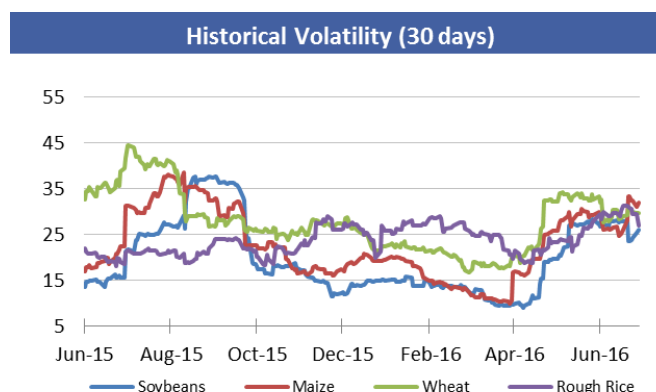
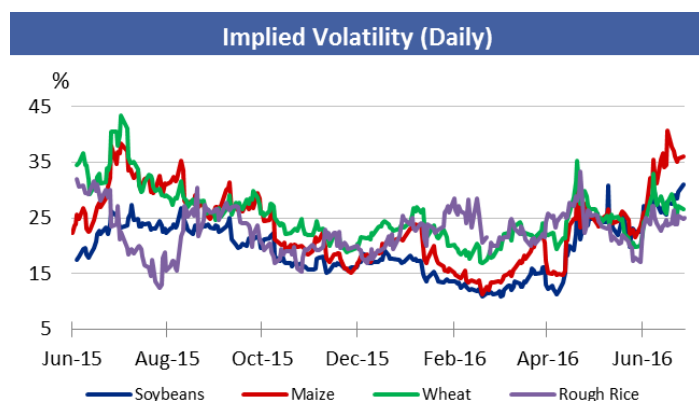


\*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

## Forward Curves



## Historical and Implied Volatilities



#### AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

For more information on technical terms please view the Glossary at the following link: [http://www.amis-outlook.org/fileadmin/user\\_upload/amis/docs/Market\\_monitor/Glossary.pdf](http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf)

## Monthly US ethanol update

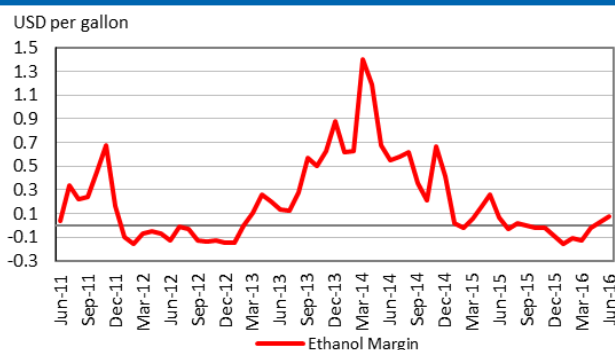
- **Ethanol production** jumped to an annualized rate above 15 billion gallons in June.
- **Ethanol margins** improved even as maize prices turned sharply higher for the month, rising around USD 11 per tonne over the region (IA, NE and IL/Eastern Corn belt).
- **Production margins** improved as both ethanol prices and co-product DDGs prices jumped, leaving margins at their highest level since June 2015.
- The jump in **ethanol prices** in the cash market was matched by gains in the nearby ethanol futures, while RBOB gasoline futures remained flat, leaving ethanol at a premium to gasoline on a volume basis. This has been common this year, but occurred infrequently in recent years.

| Spot prices                                              | Jun 2016* | May 2016 | Jun 2015 |
|----------------------------------------------------------|-----------|----------|----------|
| IA, NE and IL/eastern corn belt average                  |           |          |          |
| Maize price (USD per tonne)                              | 156.24    | 145.06   | 139.46   |
| DDGs (USD per tonne)                                     | 158.79    | 133.26   | 148.71   |
| Ethanol price (USD per gallon)                           | 1.58      | 1.51     | 1.45     |
| Nearby futures prices                                    |           |          |          |
| CME, NYSE                                                |           |          |          |
| Ethanol (USD per gallon)                                 | 1.65      | 1.57     | 1.52     |
| RBOB Gasoline (USD per gallon)                           | 1.6       | 1.6      | 2.1      |
| Ethanol/RBOB price ratio                                 | 104.4%    | 99.2%    | 73.2%    |
| Ethanol margins                                          |           |          |          |
| IA, NE and IL/eastern corn belt average, USD per gallon) |           |          |          |
| Ethanol receipts                                         | 1.58      | 1.51     | 1.45     |
| DDGs receipts                                            | 0.49      | 0.41     | 0.46     |
| Maize costs                                              | 1.44      | 1.34     | 1.29     |
| Other costs                                              | 0.55      | 0.55     | 0.55     |
| Production margin                                        | 0.07      | 0.03     | 0.07     |
| Ethanol production                                       |           |          |          |
| (million gallons)                                        |           |          |          |
| Monthly production total                                 | 1 260     | 1 1262   | 1 1247   |
| Annualized production pace                               | 15 330    | 14 861   | 15 169   |

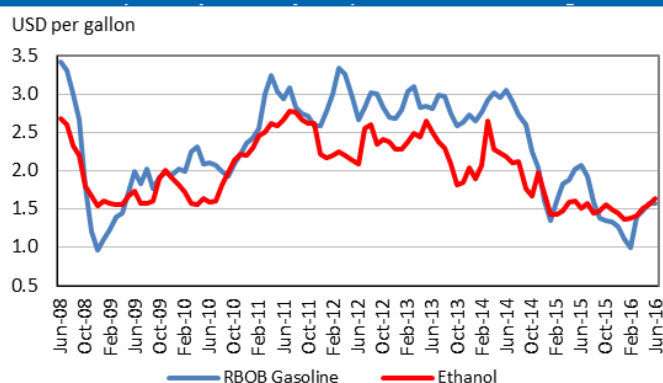
Based on USDA data and private sources

\* Estimated using available weekly data to date.

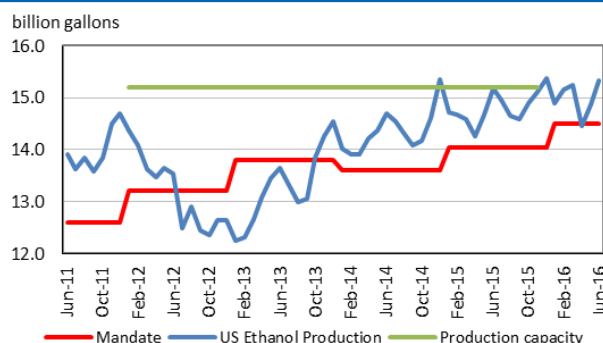
**Ethanol Production Margin**  
(IA, NE, IL/eastern corn belt average)



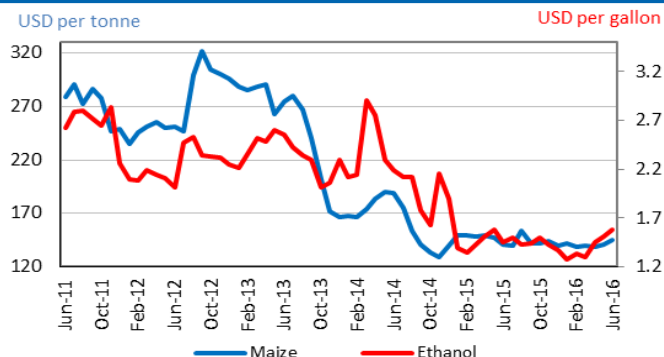
**Ethanol and RBOB gasoline**  
(nearby futures prices, CME, NYSE)



**Ethanol production pace, capacity and annual mandate**



**Ethanol price vs. maize price**  
(Spot prices)



### Chart and tables description

**Ethanol Production Margins:** The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

**Ethanol Production Pace, Capacity and Mandate:** Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

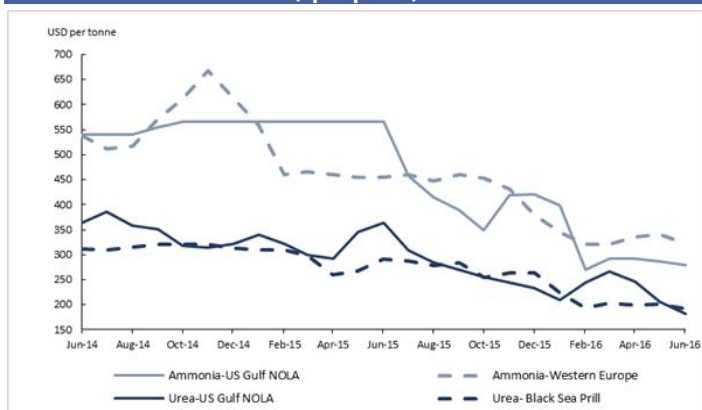
**DDGs:** By-product of maize-based biofuel production, commonly used as feedstuff.

**RBOB:** Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

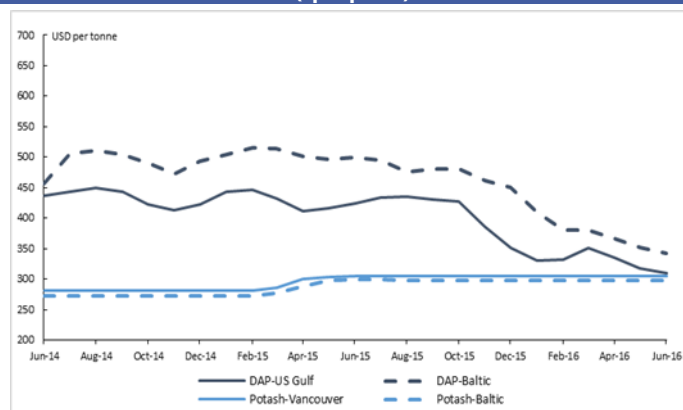


## Fertilizer outlook

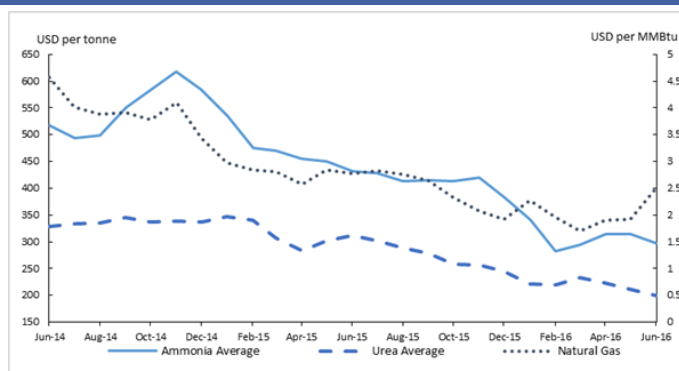
### Ammonia and Urea (Spot prices)



### Potash and Phosphate (Spot prices)



### Ammonia Average, Urea Average and Natural Gas (Spot prices)



Charts Sources: Bloomberg

- **Ammonia** and **Urea** average prices fell by 5.4 and 5.6 percent, respectively, due to ample supplies in the global market.
- **Turkey** enforced a ban on nitrogen fertilizers in the wake of several recent bombings in which nitrate-based fertilizers were used as explosives.
- **DAP** m/m prices of both US Gulf and Baltic fell by 2.4 and 2.8 percent, respectively, driven by lower demand from Europe and Brazil. Chinese exports have also declined.
- **Potash** prices have not changed since their last increase in the summer of 2015. India recently settled a major contract with Belarus, setting the lowest price in a decade. This contract price could become a benchmark for other suppliers.
- **Natural gas** prices have increased considerably in response to expected higher-than-usual summer temperatures in the US.

| Region                 | June average | June std. dev | % change previous month | % change previous year | 12-month high | 12-month low |
|------------------------|--------------|---------------|-------------------------|------------------------|---------------|--------------|
| Ammonia-US Gulf NOLA   | 280.0        | -             | -2.1%                   | -50.4%                 | 565.0         | 271.0        |
| Ammonia-Western Europe | 322.5        | 15.0          | -5.1%                   | -29.0%                 | 460.0         | 320.0        |
| Urea-US Gulf           | 182.3        | 2.1           | -11.7%                  | -49.9%                 | 363.6         | 182.3        |
| Urea-Black Sea         | 192.5        | 3.5           | -4.1%                   | -34.1%                 | 292.0         | 192.5        |
| DAP-US Gulf            | 309.5        | 1.9           | -2.4%                   | -26.9%                 | 435.8         | 309.5        |
| DAP-Baltic             | 342.5        | 2.9           | -2.8%                   | -31.5%                 | 500.0         | 342.5        |
| Potash-Baltic          | 298.0        | -             | -                       | -                      | 300.0         | 298.         |
| Potash-Vancouver       | 305.0        | -             | -                       | -                      | 305.0         | 305.0        |
| Ammonia Average        | 297.8        | 8.0           | -5.4%                   | -31.1%                 | 432.4         | 282.1        |
| Urea Average           | 199.9        | 3.1           | -5.6%                   | -35.8%                 | 311.4         | 199.9        |
| Natural Gas            | 2.5          | 0.2           | 30.1%                   | -9.7%                  | 2.8           | 1.7          |

Source: Bloomberg



#### Chart and tables description

**Ammonia and Urea:** Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.  
**Potash and Phosphate:** Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.  
**Ammonia Average and Urea Average:** Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.  
**Natural Gas:** Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers. **DAP:** Diammonium Phosphate.

## Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

**Production:** For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

**Supply:** Defined as production plus opening stocks. No major differences across sources.

**Utilization:** For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

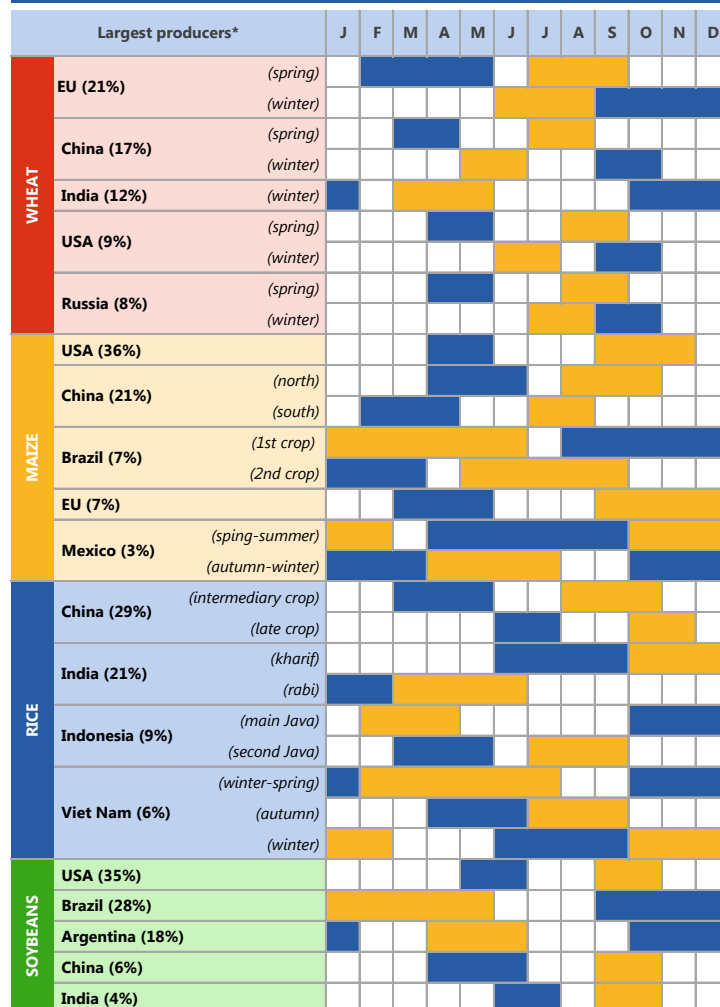
**Trade:** Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

**Stocks:** In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

### Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

## AMIS Crop Calendar

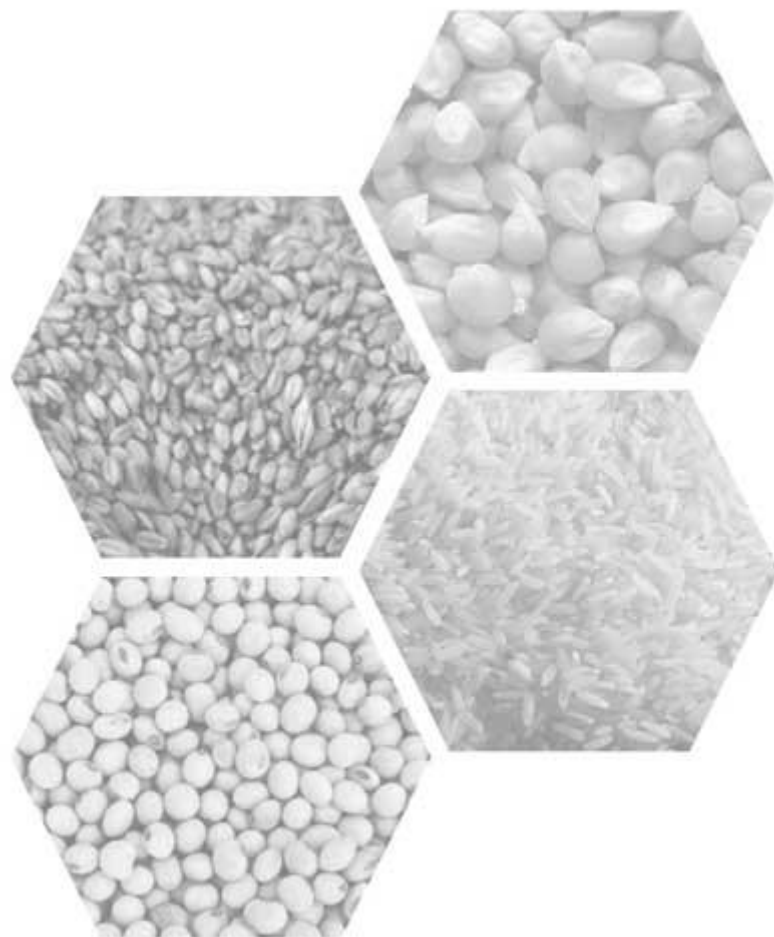


\* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

### 2016 Release Dates

04 February, 03 March, 07 April, 05 May, 02 June, 07 July, 08 September, 06 October, 10 November, 08 December



## Contacts and Subscriptions

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